Pivot or Perish Simulation Debrief: Getchell's

MKTG 6110 · Team 4 · Prof. Barbara Kahn
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Introduction

We ran Getchell's, a department store much like Macy's. At the start it was #1 in Brand and #2 in Experience, but it was losing money and owed $287M. After eight rounds its market value was $1.634B, up from $93.2M. We finished #1 in Brand and Experience, at fair value in Low Price and Frictionless, and #2 in revenue.

Our plan stayed the same after Round 1: lead Brand and Experience, and keep up in the other two. What changed was how we carried it out. Each round we tried something, looked at the results and adjusted. Our theme is simple: trust the process. Whenever we followed the course framework (5 C's, STP, 4 P's), we did better.

Part 1: Our Team's Strategy

1. Goals and Metrics

Our goal was the one the game sets: raise market value. In our first try at Round 1 we chased it through the finances. We cut customer service from $15M to $7M, closed 15 stores, cut inventory and paid down debt. Value rose 21%, to $113M. But Brand and Experience, the two areas we wanted to win, both fell.

That changed how we saw the goal. Market value has to come from customers, not from cutting what customers like. The CLV lecture put it simply: a company is worth what its customers are worth (Kahn, 2026a).

So every round we also watched four numbers:

- Our four quadrant scores against the fair-value line.
- CLV, which grew from $818M to $2.19B.
- Debt and WACC. More risk makes every customer worth less today. Debt fell from $287M to $100M.
- Gross margin, which stayed near 36%. It showed we were not buying sales with discounts.

2. Targeting: STP and the 3 C's

We picked our quadrants before we picked our segments. Our targeting got clearer over time.

- Customers: shopping experience was what shoppers valued most, and variety (breadth) came second. Segment 5 gave us the most revenue and loved a good store, but it was not growing. Segment 2 had the highest CLV and wanted variety. Segments 2, 4 and 6 were growing.

- Competitors: Zephara (like Sephora) was the only rival chasing the same Brand and Experience shoppers. Cadabra owned online convenience, and the big discounters owned low prices. Zephara's weak spot was its small selection.
- Company: we had the strongest brand and a good store, but heavy debt and a losing year.

In Round 1 we could not decide between Segment 5 (a good fit but flat) and Segment 2 (valuable and growing), so we left it open. In Round 3 we used the attractiveness-versus-fit grid. Segment 3 fit a Brand and Experience store best. Segment 1, online bargain hunters, was big and growing but a poor fit, so we chose to serve it only at a basic level. In Round 5 we committed to Segments 2, 4 and 5, because they value the in-store experience, with Segment 3 as our best Brand fit. We also added some variety (breadth) to reach the growing Segment 6 and to hit Zephara where it was weak.

The surprise was that Segment 1 still became our biggest segment, growing from $65M to $201M. Those shoppers care a lot about customer service, and service is where we spent the most.

3. Creating Value for Our Target Segments

The professor's rule was to lead in some quadrants and stay at fair value, 75% of the leader, in the rest. Brand and Experience fit together. Both make shopping more pleasant instead of cheaper, which is how Sephora wins.

How we used each lever:

- Customer service was our best tool, but it took us a while to see it. It raises both Experience and Frictionless, by about 0.11 points each per $1M by Round 7. We went from $7M in our first try to $37M at the end.
- Shopping experience builds up over several rounds. We raised it step by step to $21.5M, the most in the industry, and held it there once more money stopped helping.
- For Brand, we raised product quality from 5 to 7. We also learned that full premium shelves matter to Brand (see Round 5 below).
- Online got just enough to bring Frictionless to fair value.
- We never changed our prices (markups of 54% and 66% all game). We did not want a price war with the discounters, and the premium price helped signal quality.

Our turning point was Round 7. We already led Brand, so instead of adding there we put the new money into service. It lifted two quadrants at once and finally pushed Frictionless to fair value. Our P/E rose from 15.9 to 17.1.

4. Strategy Over Time: The Kahn Matrix, Investment and Debt

Our big change came in Round 1. After that we kept the strategy and adjusted the tactics each round:

- Round 1, first try: a money fix. We cut service, stores and inventory. Value rose 21%, but Brand and Experience fell and Low Price rose. We were drifting to the middle of the matrix, the trap of mid-tier department stores. We first decided to keep it, then changed our minds and used the mulligan.
- Round 1, redo: we kept the debt and inventory cuts, put service back to $15M, raised quality to 6 and paid for it with less vendor management. Value came in at about $184M instead of $113M.
- Round 2: we changed only one thing, online up $1.5M. Value hit $361.9M, but Zephara caught up with us on Experience.
- Rounds 3 and 4: we answered Zephara by adding to service, shopping experience and online, paid for by more vendor cuts. Debt fell to $167M and value reached $772.4M.
- Round 5: we tested more variety to beat Zephara's small selection, and trimmed premium stock. Value passed $1B, but Brand fell from 5.1 to 4.9. To shoppers we looked cheaper.
- Round 6: we refilled premium stock, raised quality to 7 and added a lot more service. We passed Zephara on Experience, but growth slowed to 15%.
- Round 7: service up to $32.3M. Every quadrant was at fair value or better, and value rose 24% to $1.465B.
- Round 8: a little more service and premium stock, $3.9M left unspent, and a final value of $1.634B.

We used the matrix two ways. Short term, it was a checklist: are we leading where we want to, and is anything below the fair line? Long term, it told us where not to spend. We never chased Low Price, so vendor management could fall from $30M to $18M. Paying down debt came first in Rounds 1 to 4. After that we reinvested a budget that grew from $69.8M to $104.5M. We talked about raising prices and closing stores at the end to cash in, and said no, because market value depends on what customers will be worth later.

5. Allocating Time and Money

Money: we paid for the quadrants we wanted to win by cutting the one we didn't. Vendor management mostly drives Low Price, so we cut it from $30M to $18M. We stopped in Round 5, when our unit costs rose about 4%. We also tried to change only a few levers each round so we could tell what worked. At the end we spent only while our projections said it paid off. In Round 8 every extra dollar we tested lowered the projected value, so we left $3.9M unspent.

Time: we met once a week for about 75 minutes. Everyone did their analysis before the meeting, so we used the meeting to debate and decide. A shared decision log and our team website made comparing plans quick.

6. Positioning Statement

For experience-driven, brand-conscious shoppers who like variety and good in-store service (Segments 2, 4 and 5, with Segment 3 as our best Brand fit), Getchell's offers the most enjoyable,

best-staffed premium shopping experience, with a wide range of quality private and national brands. We compete with Zephara and other multibrand specialty stores, and with online stores for convenience. Why believe us: we were #1 in Brand every round after the redo, we spent more than anyone on shopping experience and service, our brand quality was at the top level (7), and we kept all 185 stores for our loyal shoppers.

We added "variety" in Round 5 to stand apart from Zephara's smaller catalog. Round 5 also taught us that variety only works if the premium shelves stay full.

Part 2: Learnings from the Game and Team Interactions

7. How We Organized

In Round 1 we all looked at the game from one point of view, the financial one. We wanted to build market value and gave too little thought to CLV. The redo was our most useful change in how we worked. Mike took a dedicated CFO role to push back on marketing spending ideas. By Round 3 Joseph was our CMO, with Brian and Patrick as strategy directors working on segments and the quadrants. Abhi, as COO, looked for cost savings in the operating numbers. Brian entered our decisions each round, and the rest of us checked them.

The process was simple. The CMO team brought one to three plans, the CFO challenged them, and the COO checked them against the operating data. CLV gave us common ground. As the lecture put it, "Marketing acquires. Operations serves. Finance measures the return. CLV is the shared language that aligns all three functions" (Kahn, 2026a, slide 2).

From Round 5 Joseph ran a shared online portal. Each of us entered a plan built around our own focus area. We compared them side by side, each person explained their reasoning, and then we agreed on one plan.

8. Decisions That Were Hard to Agree On

The hardest call was the mulligan. Our first Round 1 had gone up 21%. Some of us said market value is what we are graded on, so why throw away a good result? Others said losing ground in Brand and Experience would hurt us later. At first we kept it. A day later we changed our minds. We kept the debt work and fixed the service cut, and the redo came in at about $184M instead of $113M.

Second, how many levers to change at once. Some wanted one change per round so we could learn. Others said unspent budget in a growth phase is wasted. We treated the early rounds as small experiments and added money only to levers we were already changing. Once we knew what moved our quadrant scores, we put together our "winning cocktail" and built later rounds on those tests.

Third, in Round 5 one of us played devil's advocate on adding variety in all 185 stores, mostly because of the inventory cost. We took a small step (lower-cost breadth from 50 to 55) instead of a big one.

Last, the final round. One plan wanted to go big: service to $42.5M, more breadth and depth, deeper vendor cuts and reopening stores. Our model liked it, but many of those numbers had low confidence. We chose not to bet the game on numbers we did not trust. We stayed steady in Brand and Experience and pushed hard only on service, our proven lever, to lift Frictionless.

9. The Data We Used and Ignored

At first the reports overwhelmed us, so we used what we knew best: the financials. Our first Round 1 was built almost entirely on the balance sheet, and we only looked at the segment data afterward. After the redo we let the marketing reports lead.

Most useful:

- The Kahn Matrix was our main gauge. It kept us focused on leading Brand and Experience while raising Frictionless. Seeing Zephara close in on Experience in Rounds 2 and 3 made us think about competitors, not just ourselves.
- The data tab (segment size, growth, CLV and what each group values). By Round 5 it was our main guide. It pointed us to Segments 2, 4 and 5 for Experience, and to the growing Segment 6 through breadth.
- The scorecard was Abhi's main tool.
- The balance sheet and income statement, which Mike used to set limits for the next round.

We mostly ignored the pricing data, the markups and the customer analytics score. Holding price was on purpose: the premium price signaled quality and kept us out of a price fight with the Low Price leaders.

We also misread the data once. In Round 2 we thought value had dropped, but only the growth rate had slipped. The bigger lesson: customer and quadrant data showed where market value was going, and the financials confirmed it afterward.

10. Takeaways for Going to Market

Our main takeaway is "trust the process." The course framework works if you actually follow it. We went back to the 5 C's in the redo, used STP from the middle rounds on, and watched CLV throughout, especially from Round 6. The jump in value after the redo is the clearest proof.

What we will take with us:

- An honest 5 C's analysis shows your real strengths and where money will pay off. Ours were Brand and Experience, and heavy service spending also lifted Frictionless.

- Every one of the 4 P's, especially Product and Place, must support the strategy. Cutting service and stores in Round 1 made the numbers look better but hurt the quadrants we meant to lead.
- Every lever sends a message. Thinning premium stock in Round 5 made us look cheaper, and Brand fell.
- A lead only lasts if you keep paying for it. Rivals improved about 7% a round on Experience. But adding more where you already lead brings back less and less.
- Test small, then scale. Discipline beat the big final bet.

Our target segments shifted, but our focus on our strengths did not.

[Each member: add one real example from your own work, e.g., a time cost-cutting removed something customers valued.] In real life, we would protect the customer-facing parts of a business that set it apart, and test changes before committing. And as the game's name warns, a business that won't pivot will perish.

References

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